

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-01

VISUAL COMFORT & CO. v. COSCO SHIPPING LINES CO. LTD.

RESPONDENT’S MOTION TO STRIKE “EXPERT” REPORT OF JOHN D. McCOWN

COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”) hereby moves pursuant to FMC Rule 69, 46 C.F.R. § 502.69, to strike¹ both the deposition testimony and the October 17, 2024 Amended Report (“McCown Report, Fourth Edition” or “Fourth Edition”)² of John D. McCown the “expert” witness appointed by Visual Comfort & Co. (“VCC” or “Complainant”). The Fourth Edition may be found as Exhibit 4 (CX525- CX560) in the Appendix (“C App.”) to Complainant’s Opening Brief (“Brief”), while his deposition testimony is included therein as Exhibit 2 (CX103-CX348). Both the McCown Report and his deposition testimony are patently inadmissible on multiple grounds: because it is not relevant to any claims made in the Complaint, because there is nothing reliable about it, and because it constitutes in significant part impermissible testimony about the law. Further, Mr. McCown lacks any expert qualifications relating to the subject matter of the Complaint. Mr. McCown’s testimony in other FMC

¹ Because this filing seeks affirmative relief from the Presiding Officer, rather than a ruling on the merits, it is appropriately addressed in a motion, rather than the upcoming brief. 46 C.F.R. 502.69(a).

² We use the term Fourth Edition herein because there have been four different versions or editions of the McCown Report, three of which were served by Complainant after the deadline for submitting expert testimony had passed and the last two of which were served after Mr. McCown had already been deposed. Respondent will address that issue in its Response to Complainant’s Opening Brief, as suggested by the Presiding Officer.

proceedings has been the subject of multiple, in our view convincing (but still pending) motions to strike, which for ease of reference are attached hereto as **Exhibits A and B**.

Although COSCO has produced a report from its own expert witness rebutting many of Mr. McCown's claims, there is no reason (other than, perhaps, to help the Presiding Officer sleep at night) to have a battle of the experts over issues that the Presiding Officer has recognized as irrelevant to the standards that the Commission, and the courts have set for claims of improper detention and demurrage charges. If the Presiding Officer strikes the McCown Report and testimony, as she should, she may equally ignore Respondent's expert testimony as well.³

Respondent has sought the position of Complainant with respect to the instant Motion, but Complainant did not timely provide a response to such request.

PRELIMINARY STATEMENT

As noted above, there have been many versions of the McCown Report. For present purposes, when referring to the McCown Report, we address only the October 17, 2024 Fourth Edition, although a striking of the Fourth Edition will effectively preclude use of earlier versions, as they all share the same deficiencies.

The Fourth Edition of the McCown Report is a 35-page document that, apart from seven pages about Mr. McCown's qualifications, consists entirely of a non-lawyer's legal opinions about how the Shipping Act should be interpreted and applied, as well as dubious mathematical techniques for determining the reasonableness of detention and demurrage charges, which he applied to many non-COSCO charges. His opinions directly conflict with how the FMC and the

³ As Chief ALJ Wirth has recognized, Complainants are not required to use experts. See, e.g., *Tpg Pressure. v. Omni Logistics.*, 2023 WL 6975011 (Order Granting Motion for Extension of Time) (Oct. 8, 2023). It is entirely unclear why Complainant used one here, given that he failed to address the standards set by the Commission and the courts for proving a Shipping Act violation.

federal courts actually interpret and apply the statute. The Commission, of course, is the expert agency that administers the Shipping Act, so hardly needs help from an inexperienced and unqualified “expert” such as Mr. McCown.

ARGUMENT

1. Applicable Standards

a. Burden of Proof

The Commission’s Rules of Practice regarding use of “expert” testimony, 46 C.F.R. § 502.141(d), are nearly identical to the Federal Rules of Evidence Rule 702 (FRE702). Under FRE702, “the trier of fact [here, the Presiding Officer] is to perform a ‘gatekeeping’ function concerning the admissibility of expert evidence.” *United States v. Frazier*, 387 F.3d 1244, 1260 (11th Cir. 2004) (citing *Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579, 589 n.7, 597 (1993)); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Docket No. 11-11, 2013 WL 9808672, at *23 (ALJ 2013)(admin. final). The proponent of the “expert” opinion bears the burden of establishing “qualification, reliability, and helpfulness.” *Daubert*, 509 U.S. at 592, 592 n.10.

b. Daubert Standards

The leading case on qualification of experts is *Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579 (1993). Under *Daubert*, expert witness testimony must, *inter alia*, be both (1) relevant and (2) reliable.⁴ *Id.* at 590. As we show below, the McCown Report is neither relevant nor reliable and Mr. McCown in any event lacks the necessary experience and credentials to be accepted as an expert regarding the specific topics about which he purports to render opinions. the specific

⁴ *Daubert* also sets requirements for the qualifications of purported experts. We address Mr. McCown’s insufficient expertise below.

To start with, a qualified expert witness must possess “specialized knowledge” obtained through experience, training or education; and for a witness who is “not qualified as an expert” in the field governing the “topics covered in his testimony, that testimony cannot possibly meet the requirements mandated by *Daubert*.” See *In re Omeprazole Patent Litig.*, 490 F. Supp. 2d 381, 402 & n.9 (S.D.N.Y. 2007) (citing *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994)). The courts have “not pursued a policy of qualifying any proffered witness as an expert.” *Waldorf v. Shuta*, 142 F.3d 601, 625 (3d Cir. 1998). Further, a witness may not be qualified as an expert in the area of his proffered testimony based on his expertise in other areas. See *Carnegie Mellon Univ. v. Marvell Tech. Group, Ltd.*, 286 F.R.D. 266, (W.D. Pa. 2012) (admitting patent expert’s opinion on general market matters but excluding his opinion on technical aspects); see also, *Soldo v. Sandoz Pharm. Corp.*, 244 F. Supp. 2d 434, 568 (W.D. Pa. 2003) (excluding doctor from testifying outside his specialty); accord, *Pell v. E.I. DuPont De Nemours & Co.*, 231 F.R.D. 186, 192 (D. Del. 2005), *Redman v. John D. Brush & Co.*, 111 F.3d 1174, 1179 (4th Cir.1997), *Barrett v. Atl. Richfield Co.*, 95 F.3d 375, 382 (5th Cir.1996).

2. Mr. McCown’s Amended Report Does not Meet the Applicable Standards

a. Mr. McCown’s Report and Deposition Testimony Say Nothing about 46 U.S.C. 41104(a)(10)

The Complaint alleges violations of two sections of the Shipping Act, as follows:

“COUNT I: VIOLATION OF 46 U.S.C. 41102(c):

[...]

35. COSCO’s assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes failures by COSCO to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering VCC’s property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC’s Interpretive Rule.” Complaint at 8.

[...]

49. COSCO's assessment of the Charges, and the alleged acts or omissions of COSCO that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with VCC, in violation of 46 U.S.C. Section 41104(a)(10)." Complaint at 9.

The McCown Report does not say anything relating to 46 U.S.C. § 41104(a)(10), which addresses unreasonable refusals to deal, so that claim will not be addressed further herein.

b. Mr. McCown Does Not in his Report or Testimony Address the FMC's Existing Framework for Evaluating Detention and Demurrage Charges Under 46 U.S.C. 41102(c)

As the Presiding Officer recognized at the May 16, 2024 Status Conference,⁵ the Commission has already adopted a framework for deciding when an assessment of detention or demurrage charges violates 46 U.S.C. § 41102(c). Under that framework, the Commission looks at individual shipments and individual days to determine whether, for a particular shipment, the complainant has proven that: (i) the ocean common carrier charged detention or demurrage for a specific date on which the party assessed the charge could not pick up a full container or return an empty container, and (ii) imposition of the charge for that day could not serve to incentivize freight fluidity

The first of these requirements was established by the Commission in *TCW. v. Evergreen Line Joint Service Agreement*, Docket 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022) (vacated and remanded by *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) ("TCW"). There, the Commission found that an ocean carrier had violated the

⁵ At that Status Conference, the Presiding Officer referred to Complainant's proposal to substitute expert testimony for a factual showing regarding individual shipments and days as "far afield." Likewise, in the Presiding Officer's July 17, 2024 Partial Order on Motions to Compel, she stated that, at the May 16 Conference: "I told Complainant that I did not think requests for generalized data regarding COSCO's income, revenue, and the like were relevant, and Complainant has not convinced me (or even argued) that such documents are relevant to this proceeding for the timeframe sought." Order at 9.

Shipping Act by charging detention for days on which the port was closed. The FMC specifically limited the finding of violation to the particular days when the port was shut down (weekends/holidays), leaving stand the detention charges for other days.⁶

The second requirement was imposed by the United States Circuit Court for the District of Columbia Circuit, which overturned the Commission's determination in *TCW* that the ocean carrier had violated the Act. *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024)(“TCW”). The court held instead that a finding of an unreasonable assessment of detention or demurrage requires not only proof that the complainant could not return (or pick up) the container on a specific day for reasons beyond its control, but also a factual determination as to whether the assessment of a charge for that day furthered or obstructed the flow of commerce. In particular, the D.C. Circuit ruled that, even if a return facility was closed on Saturday or Sunday, imposition of a charge for those days might well further container flow if it encouraged the complainant to return the container on Friday.

The McCown Report does not even purport to address the legal requirements imposed by the FMC and expanded by the D.C. Circuit in *TCW*. Indeed, it does not mention the *TCW* case at all. Instead of discussing what happened with particular shipments on particular days and whether

⁶ Likewise, In *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, 4 F.M.C. 2d 53, 94 (I.D. 2022), Chief ALJ Wirth found it necessary to look at the alleged violations of the Shipping Act on a container-by-container **and** day-by-day basis and concluded that “BOE did not establish a violation for all eleven shipments or for all days of detention.” Accordingly, she found violations of 46 U.S.C. 41102(c) only for some of the shipments alleged for some of the days alleged. More recently, Chief Judge Wirth stated that an allegation of a violation of 46 U.S.C. § 41102(c) concerning multiple shipments made it “likely that [complainant] would need to establish an inability to return each container.” FMC Docket No. 24-13, *Access One v. COSCO* (Order Denying Partial Motion to Dismiss, June 4, 2024). This is, of course, the usual method the FMC uses for determining violations which relate to what the respondent did with respect to individual shipments. See *Anderson International Transport – Possible Violations*, 32 S.R.R. 1678 (FMC 2013) (conducting a shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

or not the charges were capable of incentivizing timely pickup or return, the McCown Report simply rejects the test adopted by the Commission/courts.

Mr. McCown would replace the framework created by the FMC and courts in *TCW* (and elsewhere) with an irrebuttable presumption. Under that presumption, the Commission would simply *assume* without evidence that every day in 2020, 2021 and 2022 was a period of “congestion” (a term that is way too vague to operate as a standard) at U.S. ports such that no containers could be picked up or returned on any day, without even considering the actual circumstances on that date or whether the complainant’s inability to pick up its cargo or return an empty container was outside its control. Not only is this proposed assumption of guilt directly contrary to what the Commission has previously held, it would also eliminate the burden of proof for a would-be complainant, totally eviscerating the Commission’s rulings that a complainant must show by competent evidence that pick up or return of a specific container on a specific day was not possible for reasons over which it had no control.⁷

In this case, Mr. McCown could not even name the ports, much less the terminals within those ports, at which cargo carried by COSCO and destined for VCC was discharged. McCown

⁷ The Commission has held that ocean common carriers may require a party disputing a claim of an improper detention and demurrage charge to show evidence that the terminal was unavailable due to, for example, lack of appointments. In *Hapag Lloyd*, for example, the factfinder stated that screenshots of terminal websites showing the closure or lack of appointments for a particular day could be used to demonstrate the inability to return containers on a specific day. *Hapag-Lloyd - Possible Violations of 46 U.S.C. 41102(c)*, 4 F.M.C. 2d 53, 56 (I.D. 2022) (“Future proceedings would benefit from a greater focus on the specific shipments. So, for example, rather than just listing invoice numbers, it would be helpful to identify who handled the shipments, the dates free time ended, and detention was charged, the amounts invoiced, etc.”). Approved by the Commission, a settlement agreement ending the proceeding required Hapag Lloyd, among other things, to waive detention charges when evidence is provided that there was a lack of appointments at the terminal for those charges, but that waiver would be denied *for any day* for which no evidence was provided. Available at https://www2.fmc.gov/readingroom/docs/21-09/21-09_Settlement_Agmt_unsig.pdf/

Dep. 1168:10-18. Still less did he know the status of those ports/terminals on any given day for which VCC asserts a violation of the Shipping Act. McCown Dep at 158:1-15, CX261.

Apart from this irrebuttable presumption, the McCown Report uses a series of arcane arithmetic calculations to create an alternative reality (which, if necessary, we will demonstrate to be inaccurate), where carriers are adjudged not by their actual practices – as to which the McCown Report is silent – but instead by how much money they make and how that money is dispersed across thousands of customers. But those factors are decidedly irrelevant under the Shipping Act, under which Congress chose deliberately not to confer on the Commission any authority over profits or prices in the U.S.-foreign trades.⁸ As the Presiding Officer recognized at the May 16, 2024 Status Conference and in her July 17, 2024 Order, and as Chief ALJ Wirth recently explained, “Making a profit or increasing income, without more, would not violate the Shipping Act.” *Samsung Electronics America, Inc. v. Zim.*, 2023 WL 4060326, at *2 (June 9, 2023).

Nor are Mr. McCown’s assertions about COSCO’s performance vis-à-vis the rest of the industry relevant to the issues under 46 U.S.C. § 41102(c), which looks at when the cargo was picked up, or the container returned, in relation to free time, then decides whether the charges were for days when the container could not be picked up or returned for reasons outside the complainant’s control *and* (under the D.C. Circuit decision in *TCW*) whether the imposition of charges could further, rather than obstruct, container flow. That COSCO performed better or worse

⁸ Although the Commission has never had authority to determine the “reasonableness” of prices, revenues, or profits for ocean transportation in the U.S.-foreign trades, it did at one time have such authority over transportation in the offshore domestic trades (e.g., U.S. Mainland to/From such places as Hawaii, Guam, and Puerto Rico). See, e.g., FMC Docket No. 89-26, *The Government of the Territory of Guam, et. al. v. Sea-Land Service, Inc. and American President Lines, Ltd.*, 2003 WL 27376001 (August 29, 2003) (Final Commission Order issued July 11, 2005). Congress removed that authority from the Commission in 1995 and conferred that authority instead on the Surface Transportation Board. ICC Termination Act of 1995, Pub. L. No. 104–88, § 201, 109 Stat. 803, 932–34 (1995).

than other ocean carriers, even if accurate, does not facilitate the Presiding Officer's task of determining whether, for certain shipments at certain terminals and on certain dates, COSCO assessed charges against VCC or RIM on occasions where they could not pick up or return the containers for reasons outside their control, and what effect those charges may have had on container flow.

Mr. McCown further suggests that the reasonableness of detention and demurrage charges can be evaluated by comparing them to such charges applied to other customers. ("Actual Data Demonstrates that the VCC shipments were treated very differently [from shipments for other entities] for accessorial charge billing purposes Which Made it Unreasonable") (McCown Rpt at p.30, Heading IX, CX555). But this conclusion is both wrong on its face and irrelevant as a matter of law. As previously established, COSCO had no way of knowing which shipments were destined for VCC and which were not, so any difference, if difference there actually was, resulted from different circumstances, and not any COSCO intention to treat VCC differently. Nor does Mr. McCown suggest that RIM was treated differently when working for VCC than when working for RIM's other customers.

In any event, Mr. McCown's assertion is irrelevant as a matter of both fact and law. First, this assertion of differential treatment sounds in discrimination, not reasonableness, but the Complaint makes no claim under any of the discrimination or preference/prejudice prohibitions of the Shipping Act. Furthermore, the shipments at issue all moved under service contracts between COSCO and twenty-nine different shippers unrelated to RIM or VCC located in Asia (as identified on the COSCO Sea Waybills). None of the shipments moved pursuant to any service contract between either VCC or RIM. So, any discrimination would be against the service contract holders in Asia not RIM or VCC.

In any event, The Shipping Act specifically excludes claims that an ocean carrier treated one service contract holder differently from another. In 1998, Congress amended the Shipping Act specifically to authorize discrimination among service contract holders⁹ and limited the discrimination and preference/prejudice prohibitions (for the relevant period here) to discrimination against ports.¹⁰ In *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512. 529-30 (I.D. Granting Motion to Dismiss in Relevant Part 2014), for example, then-Chief ALJ Guthridge dismissed for failure to state a claim a complaint that the respondent had engaged in unlawful discrimination by providing complainant a worse service contract rate than it provided other, similarly situated service contract shippers. In this regard, Judge Guthridge stated that, as modified in 1998: “The Shipping Act Permits a Carrier to Charge Different Rates in Service Contracts with Similarly Situated Shippers.” *Id.* at 529.

⁹ Prior to the Ocean Shipping Reform Act of 1998, Pub. L. No. 105-258 (Oct. 14, 1998)(“OSRA98”), the Shipping Act of 1984 prohibited common carriers from “demand[ing], charg[ing], or collect[ing] any rate or charge that is unjustly discriminatory between shippers or ports.” Section 10(b)(10), Pub. L. No. 98-237, 98 Stat. 78 (Mar. 20, 1984)(46 U.S.C. App. 1709(b)(10)). This prohibition was referred to as the “me-too” requirement, because it prohibited rate discrimination by common carriers among all “similarly situated shippers.” OSRA98 deleted that provision, ending the prohibition on rate discrimination by carriers between shippers. 112 Stat 1910. The Senate Committee Report on S. 414 (the bill that was to become OSRA98) explained: “While the 1984 Act allowed greater discrimination for service contracts than tariffs, it essentially preserved common carriage requirements for both types of transactions, and similarly situated shippers were afforded identical contract rights. [...] Larger shippers...objected to the requirement that similarly situated shippers be allowed to access identical service contract rights, contending that it reduced their ability to negotiate competitive advantages... The reported bill attempts to compromise the positions and interests of those who support complete deregulation of ocean shipping and those who support the status quo.[...] ...S. 414 would [...] [p]rovide shippers and common carriers greater choice and flexibility in entering into contractual relationships with shippers for ocean transportation and intermodal services.” *Report of the Committee on Commerce, Science, and Transportation on S. 414, S. Rep. No.105-61* (July 31, 1997) at 2-5.

¹⁰ Before the 1998 OSRA amendment, the 1984 Act permitted only individual carriers and conferences to enter into service contracts. To discourage any undue discrimination, carriers and conferences were required to make the same essential terms available to similarly situated shippers for a period of 30 days. This requirement was known as the “me-too” provision. In 1998, however, OSRA eliminated this “me-too” provision regarding similarly situated shippers.

c. Mr. McCown's Testimony Constitutes Prohibited Legal Opinions

The bulk of the McCown Report is not about facts, even loosely defined, but about Mr. McCown's views on what the *law should be*, no matter what the Commission says it is. Even apart from the facts that the FMC needs no assistance regarding interpreting and application of the Shipping Act and that Mr. McCown is entirely unqualified to venture legal opinions, it is recognized everywhere that expert testimony about U.S. law is prohibited. Specifically, experts “may not testify to the legal implications of conduct” or “tell the [finder of fact] what result to reach.” *Montgomery v. Aetna Cas. & Sur. Co.*, 898 F.2d 1537, 1541 (11th Cir. 1990). Such legal conclusions “in no way assist[] the trier of fact.” *Cooper v. Pacific Life Ins. Co.*, 2007 WL 430730, at *1 (S.D. Ga. Feb. 6, 2007).¹¹ Legal opinion, however, is about all the McCown Report offers.

¹¹ As also stated by the federal courts:

“Helpful opinions disclose material facts without offering any legal conclusions. *Specht v. Jensen*, 853 F.2d 805, 807 (10th Cir. 1988)(*en banc*) (citation omitted); see also *United States v. Richter*, 796 F.3d 1173, 1195 (10th Cir. 2015); *EEOC v. W. Distrib. Co.*, 643 F. Supp. 3d 1205 (D. Colo. 2022). Legal opinions are categorically unhelpful because, *inter alia*, they direct the jury towards reaching a particular conclusion, which risks impermissibly usurping the role of the jury altogether. Fed. R. Evid. 704, *Advisory Cmt. Notes* (1975 Enactment); see also *Specht*, 853 F.2d at 807 (citation omitted); *TBL Collectibles*, 285 F. Supp. 3d at 1184. Consequently, courts routinely exclude expert opinions that assert how the law should be applied.” *Estate of Jeffrey Melvin v. City of Colorado Springs, Colorado*, 2024 WL 2958950 (D. Colo. 2024). See, e.g., *United States v. Bilzerian*, 926 F.2d 1285, 1294 (2d Cir. 1991)(“As a general rule an expert's testimony on issues of law is inadmissible[]”); *United States v. Melvin*, 508 F. App'x 209, 211 (4th Cir. 2013) (“[A]n expert generally is not permitted to apply law to facts to reach a legal conclusion, as such testimony is not considered helpful”); *Berkeley Inv. Grp., Ltd. v. Colkitt*, 455 F.3d 195, 217-218 (3d Cir. 2006)(citations omitted).

¹² As the Presiding Officer is well aware, there were no “VCC billings.” VCC here is not litigating its own claims, but rather those of RIM, which have been assigned to VCC. Thus, as discussed further below, the whole analysis set out in the McCown Report is fatally flawed because it is based on the false assumption that COSCO charged VCC significant sums that were not in fact charged by COSCO, rather than any evaluation of COSCO's charges to RIM (which, if any, are not included in either the McCown Report or the Brief (including its Appendix), whose purported claims VCC is litigating.

To start with, even a quick glance at the table of contents makes it apparent that the bulk of the McCown Report is an attempt to testify regarding the legal implication of alleged conduct, not to any disputed facts (or facts generally) that might assist the Presiding Officer to render a decision. Thus, the McCown Report repeatedly makes determinations about whether particular alleged conduct meets the unreasonableness standard of 46 U.S.C. § 41102(c). Heading V, for example, states in pertinent part that “COSCO’s revenue per diem . . . makes the unsupportable VCC billings¹² even more *unreasonable*” (emphasis added). Likewise, Heading VI (emphasis added) states in pertinent part that “COSCO’s practices . . . *violated* the Incentive Principle which makes them *unreasonable per se*.”¹³

We do not wish to belabor the point by going through each and every one of the places in the text of the McCown Report where Mr. McCown improperly posits what the law is or should be, so we offer just a few examples. Paragraph 56, for example, states:

“It is incumbent on the carrier to have all the necessary assets, including ships, equipment and terminals, to provide the service that it has contracted to provide. If that requires additional expense or capital investment, that is the obligation of the carrier and not the customer.”

Not only is that assertion a patent conclusion of law, without any citation whatsoever, but it is also entirely wrong. The Commission has specifically held to the contrary: that, when demand exceeds capacity, an ocean carrier may legally pro rate its existing capacity among its users in an equitable manner. See, *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615 (1959)(cited with

¹² As the Presiding Officer is well aware, there were no “VCC billings.” VCC here is not litigating its own claims, but rather those of RIM, which have been assigned to VCC. Thus, as discussed further below, the whole analysis set out in the McCown Report is fatally flawed because it is based on the false assumption that COSCO charged VCC significant sums that were not in fact charged by COSCO, rather than any evaluation of COSCO’s charges to RIM (which, if any, are not included in either the McCown Report or the Brief (including its Appendix), whose purported claims VCC is litigating.

approval in *Fact Finding Investigation No. 23 - Ocean Common Carrier Practices In the Transpacific Trades*, 1998 WL 940278, at *1).

Similarly, in paragraph 53, Mr. McCown asserts that “VCC was not the *responsible* party and as such the charges by COSCO were a *direct violation* of the incentive principle.”¹⁴ Even ignoring the undisputed facts that COSCO sent no invoices at all to VCC and Complainant has failed to introduce any COSCO invoices to RIM, Mr. McCown’s assertions are on their face nothing more than obvious legal arguments. It is the function of the Presiding Officer and the Commission, not Mr. McCown or any other purported expert, to determine who is the responsible party and whether the facts establish a violation of the incentive principle.

Likewise, in Paragraph 54, Mr. McCown purports to address what the FMC has “repeatedly ruled” about the incentive principle (without a single citation and while struthiously ignoring what the Commission and D.C. Circuit held in *TCW*). And in Paragraph 79, Mr. McCown takes issue with the FMC’s decision, addressed above, to treat alleged violations of the incentive principle on a shipment-by-shipment, day-by-day, basis, calling it (and by extension, the Commission and the D.C. Circuit) “disingenuous.” McCown Rpt at 33-34, CX558. These are purely legal arguments that may be made by counsel, but not by a purported expert, especially one who is not a lawyer and apparently unaware of the relevant case law.

d. The McCown Report is Not Reliable

As in the opening section on the standards applicable to expert testimony, any such testimony must be not only relevant, but also reliable. The reliability “criterion remains a discrete,

¹⁴ Although Mr. McCown is not a lawyer, the McCown Report also tends to throw about legal terms better found in a brief of counsel than the report of a so-called expert, such as “prima facie evidence” (Paragraph 32), “arbitrary and capricious” (Paragraph 32) and “per se” (Heading VI, quoted above). One may well wonder who actually wrote the McCown Report.

independent, and important requirement for admissibility.” *Frazier*, 387 F.3d at 1261. And if the witness is relying solely or primarily on experience, as Mr. McCown purports to do, then the witness must explain how that experience leads to the conclusion reached, why that experience is a sufficient basis for the opinion, and how that experience is reliably applied to the facts. *United States v. Brown*, 415 F.3d 1257, 1261 (11th Cir. 2005) (citing FRE 702). Even if the McCown Report were relevant (which, as we demonstrated above, it is not), Mr. McCown’s testimony would still fail under the criterion of reliability.

i. The McCown Report is Premised on Flawed Analysis and Assumptions

As the Presiding Officer has recognized, the reparation claims being litigated by VCC are claims originally owned by RIM. Mr. McCown fails to recognize this inescapable fact, and discusses the claims as if VCC, not RIM, were the customer¹⁵. The McCown Report never analyses whether any of these charges would have been unreasonable as to RIM. As the Presiding Officer is well aware, RIM had many customers other than VCC for which COSCO provided ocean transportation. Accordingly, to assess the reasonableness of charges to RIM, it is necessary to evaluate the entire scope of the relationship between COSCO and RIM. The McCown Report makes no attempt to do this and hence is totally invalid.

Second, and even more importantly, the McCown Report rests on the wholly erroneous assumption that all of the charges that RIM passed on to VCC came from COSCO. That is decidedly untrue. As one glaring example, Mr. McCown assumes that the “storage” or “yard storage” charges included in RIM invoices to VCC – which make up the vast majority of the charges for which he and Complainant seek to hold COSCO liable -- were a pass through of

¹⁵ As explained above, the actual COSCO customer was neither VCC nor RIM, but an unrelated service contract holder/shipper located in Asia.

charges that COSCO invoiced to RIM. But that is demonstrably false. COSCO **does not** assess such storage charges, and charges designated as such would not be found on any COSCO invoice. Such charges to RIM undoubtedly came not from COSCO, but from third parties unrelated to COSCO, such as terminals, truckers, railroads, warehouses, and the like. This gross error on the part of Mr. McCown apparently results from his failure to review any COSCO invoices.¹⁶

ii. The McCown Report Failed to Consider Alternative Possibilities

One of the criteria for determining the admissibility of expert testimony is whether the expert considered any alternatives before forming his opinion. *Viterbo v. Dow Chem. Co.*, 826 F.2d 420, 424 (5th Cir. 1987) (“Without more than credentials and a subjective opinion, an expert’s testimony that “it is so” is not admissible.”). Mr. McCown testifies that the amount of incentive a shipper may need to timely pick up or return containers is whatever Mr. McCown says it is. Mr. McCown did nothing to analyze what level of incentive might be necessary or appropriate at the ports where cargo destined to VCC was discharged. And when questioned about his opinion, Mr. McCown said that he did not even consider whether RIM would have cared or whether VCC may have had reasons to leave its cargo on the terminal or in the container itself past free time. (“Q: Is it your testimony that no shipper requires any incentive to pick up its laden containers, its cargo, from a marine terminal because all shippers have a natural incentive to do that? A: Yes.” McCown Dep. at 109-110:22-5, CX212-213. For that alone, the McCown Report is unreliable and thus inadmissible.¹⁷

¹⁶ This grave error also suggests that Mr. McCown’s purpose in preparing the Report was not to provide the perspective of an independent expert, but rather, he was merely seeking to maximize VCC’s claims.

¹⁷ As the Commission is certainly well aware, that is something no expert could possibly believe that. Consignees regularly leave cargo at the port for many reasons, including that they lack sufficient warehouse space to hold the additional goods. Why expend resources moving and storing

containers when you can keep it rent free at the port? In any event, Mr. McCown's opinion about loaded containers could not possibly be relevant to the return of empty containers.

iii. Mr. McCown's Qualifications are Demonstrably Lacking and Out of Date

The McCown Report repeatedly brags about Mr. McCown's substantial (and highly exaggerated) experience, which is relied upon to make scores of otherwise unsupported factual assertions. But the Report does not, as required by FRE 702 precedent, explain how that ostensible experience led to the conclusion reached, why that experience serves as a sufficient basis for the opinion provided, and how that experience is reliably applied to the facts. *Brown*, 415 F.3d at 1261.

Virtually all of the claims made based on Mr. McCown's "experience" relate to practices in assessing detention and demurrage. But the McCown Report does not demonstrate that Mr. McCown has any experience with the process of setting or assessing detention or demurrage charges. Indeed, the McCown Report never even uses the words "detention" or "demurrage" in describing his prior experience, first mentioning "detention" in the "Summary of Opinions" section on p. 7 of the Report. McCown Rpt at 7, CX532. Moreover, Mr. McCown has expressed that he considers detention and demurrage charges to be largely unreasonable. McCown Dep. at 98-100:9-6, CX201-203.

Q. Is it your opinion that it is ever reasonable to charge demurrage?

A. I think in the narrow cases where it is clear and documented that it is the shipper's responsibility. If a shipper says, well, something's come up and I need to keep this container for another five days at my facility, you know, they're kind of acknowledging that they're going past the free time. I think the customs inspection is another. But those are very, very infrequent in my view. . . .

So I don't have any issue with demurrage and detention in the concept. I do think as I indicated in my report that these amounts collectively are staggering and I think somewhat unreasonable by their very nature. But I know they need to be punitive. I'm just surprised. I'm surprised at how punitive they've become.

Q. Is it your testimony that a certain level of demurrage or detention on a daily basis may be unreasonable? A daily charge may be unreasonable?

A. Yes, it certainly can be unreasonable, just the charge itself. Even if somebody says in concept, you know, if some carrier said, well, our demurrage and detention, rather than being 400, is now 4,000 a day, you know, somebody can come up with a case. Well, that's what we need to do,

you know. So yeah, I think you can be – have a situation where the charge and the concept is reasonable, or the amount that somebody is choosing to put in their tariff is per se unreasonable.

When pressed, Mr. McCown proposed that a reasonable demurrage rate would be \$30 per day. McCown Dep. at. 103:9-21, CX206. This is of course at least an order of magnitude below the levels actually charged by any actual ocean carriers with whom COSCO competed in any of the years at issue. And it is impossible to imagine any shipper that would find much incentive in such a minimal charge when he could avoid warehouse costs by delaying pickup of cargo or by using empty containers for storage rather than returning them.

As just one example of Mr. McCown's obvious lack of knowledge/experience, we note his assertion that COSCO made the difficulty returning containers even worse by imposing restrictions on return, such as dual-move requirements. [cite] But anyone with actual experience with ocean carriers and terminals will know that such a restriction is *not* imposed by the ocean carrier, *but by the terminal*, very much against the preference of the carriers.¹⁸

The McCown Report also glaringly omits saying that Mr. McCown was ever involved in setting or applying detention and demurrage policies when he worked for operating companies (most recently, sixteen years ago). Further, the companies where he worked themselves had little relation to a modern container ship operator providing extensive, global, networked services, such as COSCO. Such companies were either (1) a small carrier using a small number of small vessels (mainly sea-going tugs and barges) carrying a minimal number of containers within an extremely limited services, mostly serving just one or two ports in the United States and one foreign port; or (2) a small carrier with a unique, niche service. McCown Dep. at 26-27:2-8, CX129. That work

¹⁸ Dual-move requirements, for example, serve the financial interests of the terminal, not those of the carrier.

provides no basis on which to make the decidedly exaggerated boast that Mr. McCown had “decades of operating experience in container shipping.” McCown Rpt at 8, para 26, CX533.

In any event, Mr. McCown’s exaggerated experience bears no relation to the matters at issue here. He has absolutely no familiarity with ocean transportation operations involving hundreds of large vessels moving in trans-Pacific and trans-Atlantic trades in a network serving more than 624 ports in over 145 countries.¹⁹ Further, his roles at these companies were about financial issues, not container ship logistics. Indeed, in another, similar proceeding before the FMC, Mr. McCown admitted that such proceeding was the first time he had ever analyzed a detention or demurrage claim. **Exhibit B** (Respondent’s Motion to Strike *Samsung Electronics, Inc. of America v. Zim*, at 5-6).

We briefly summarize just a few of the many instances where the McCown Report relies on purported experience, without further facts or explanation, and inconsistently with actual experience, or, more saliently, lack thereof. At Paragraph 27, for example, the McCown Report states, “That same experience makes me very knowledgeable in what the responsibilities of a container shipping company are, and the actions required by the carrier to fulfill its responsibility to shippers.” McCown Rpt at 8, para 27, CX533. This sentence is doubly flawed. First, the responsibilities of a container shipping company are matters of law, testimony about which is both impermissible and without any alleged foundation in experience. Second, the Report suggests no basis for Mr. McCown possessing any knowledge vis-à-vis the responsibilities of a major carrier, much less being “very knowledgeable” on that subject. As described above, Mr. McCown’s experience is in finance, not operations, and the companies for which he worked more than twenty years ago bear no meaningful relationship to the operations of a modern global carrier such as

¹⁹ See <https://lines.coscoshipping.com/home/About/about/Profile> (accessed November 10, 2024).

COSCO. Similarly, at Paragraphs 47-48, Mr. McCown expresses opinions about per diems in the United States and those in Rotterdam, saying, “in my view the container terminal operations and the role of demurrage and detention is [sic] quite similar in all of the ports shown in the table.” McCown Rpt at 17-18, para 47-48, CX542-543. Not only does Mr. McCown lack any experience in setting or applying per diems, he also demonstrates no experience with any of those ports (Long Beach, Rotterdam) of a sort that might allow him to determine whether different conditions warrant different charges. Furthermore, the McCown Report totally ignores what the Commission has identified as the main reason for detention and demurrage – to give shippers and consignees a sufficient incentive to promote the timely pickup of cargo and return of empty containers. It is quite possible, indeed likely, that shippers/consignees at some ports need greater incentives than those at other ports.

Likewise, in Paragraph 60, Mr. McCown asserts, “In my opinion based on my operating experience in the industry and the terminal processes involved with VCC loads,²⁰ the accessorial charges by COSCO during the pandemic were not consistent with the incentive principle.” McCown Rpt at 24-25, para 60, CX549-550. Again, apart from being entirely inadmissible as testimony about the law, Mr. McCown demonstrates no operating experience relevant to detention and demurrage or any knowledge (beyond financial analysis) about the current operations of marine terminals. McCown Dep. at 218, CX321. More importantly, he states a legal conclusion about compliance with the incentive principle of the FMC regulations without raising the actual point of the incentive principle – namely, whether the charge encourage the timely pickup and return of equipment.

²⁰ It is hard to credit Mr. McCown’s assertion of experience “with the terminal process involved with VCC loads” when he could not even name the terminals through which VCC moved its loads.

iv. Mr. McCown's Assertions are Unsupported by Evidence

The McCown Report is further flawed by the repeated failure to cite evidence in support of Mr. McCown's opinions. As explained above, for example, Mr. McCown made a gross error about what charges originated with COSCO, without citing, or apparently reviewing, actual invoices. And as another glaring example, the Report says (at Paragraph 72) that "there has never been a shipper such as Walmart, Home Depot or Target that has ever experienced any treatment approaching what VCC received related to demurrage and detention billing." McCown Rpt at 31, para 72, CX556. No evidence is cited for this brash yet vague claim. Mr. McCown provides no basis for any familiarity with those identified companies; nor, by his own account, does he have an iota of experience analyzing the detention or demurrage invoices sent to any of these companies.²¹

As yet another such example, the McCown Report states (at Paragraph 76) that "[d]ue to terminal congestion issues that VCC played absolutely no role in creating, its truckers were precluded from anything approaching normal times in either picking up loads or returning empty containers." McCown Rpt at 32, para 76, CX557. Nothing is cited to support this assertion, and it is obviously wrong on many levels. Whether or not VCC played a role in creating the congestion – an absurd suggestion, as discussed below – the issue is not about VCC, but RIM.

²¹ In any event, the unsupported suggestion that Walmart, Home Depot, and Target get better treatment than much smaller shippers would hardly be surprising, or unreasonable, given that, as demonstrated above, Congress amended the Shipping Act in 1998 specifically to give additional flexibility to shippers and carriers to allow differential treatment in confidentially negotiated service contracts. See, *Report of the Committee on Commerce, Science, and Transportation on S. 414, S. Rep. No. 105-61, 4* (July 31, 1997).

And as to the second part, regarding truckers' inability to access the terminal in "anything approaching normal times," that is a matter of fact, not opinion meriting expert testimony. Furthermore, Mr. McCown did not state a single fact as to either the normal time it took truckers to access the terminals at issue (terminals which Mr. McCown could not identify) or the time(s) it took during any particular portion of the two-year period covered by the Complaint. It is of course Complainant's burden to prove the facts – the Complainant cannot simply assert them on someone else's opinion, especially when the assertion is nothing more than the unsupported *ipse dixit* of Mr. McCown. Further, it is absolutely ludicrous for Mr. McCown to suggest that *every* trucker employed by RIM/VCC was unable to pick up or return containers for *every* single unspecified shipment on *every* single unspecified day at *every* port or terminal across the United States for which RIM was charged detention or demurrage.²² As demonstrated above, that is what FMC law requires a complainant to show as the first threshold matter before even considering the effect of the charge on container flow.

In another obvious gaffe, the McCown Report repeatedly refers to the terminals at which cargo is landed in the U.S. as being managed or controlled by COSCO. No evidence to support that claim is cited, and it is totally untrue. COSCO does not presently own or even manage a single terminal in the United States (the only place allegations may even tangentially be relevant), and it did not do so at any time covered by the Complaint. Nor does or did COSCO have any ability to address the main problem Mr. McCown complains about – namely, that ports had too little space

²² McCown Report, Paragraph 56. McCown Rpt at 22-23, para 56, CX547-548. Apparently not bothered by internal inconsistency, the very following statement (Paragraph 57) indicates that the large majority of shipments VCC alleges it made with COSCO via RIM incurred no late charges whatsoever. McCown Rpt at 23, para 57, CX548. The spreadsheets he purported to have examined and upon which his testimony was based also include a majority of line items indicating no such charges.

to handle the unprecedented and unexpected influx of containers. Decisions to require gate appointments, or other actions to regulate terminal activity, are not made by COSCO, but instead by private terminal operators, public port authorities, and other federal and state governmental authorities, which have to address multiple factors such as land use, environmental effects, and traffic.

v. Mr. McCown's State of Mind Opinions are Improper

The McCown Report is also unreliable because it repeatedly makes unsupported assertions about COSCO's state of mind. The courts routinely exclude expert testimony regarding a party's intent, motive, or state of mind. The court in *In re Rezulin*, 309 F.Supp.2d 531, 546 (S.D.N.Y.2004), for example, explained that "the opinions of [expert] witnesses on the intent, motives, or states of mind of corporations, regulatory agencies and others have no basis in any relevant body of knowledge or expertise."²³

Without again wishing to belabor the point, we note that the McCown Report repeatedly runs afoul of this restriction on expert testimony. See., e.g., McCown Report at Paragraphs 27, 33, 73, 76, 84. McCown Rpt at 8, 10, 31-32, 35, para 27, 33, 73, 76, 84, CX533, 535, 556-557, 560.

²³ See, e.g., *Pritchett v. I-Flow Corp.*, 09-CV-02433-WJM-KLM, 2012 WL 1059948, at *6 (D. Colo. Mar. 28, 2012) (excluding expert testimony regarding state of mind and intent); *Ebonie S. ex rel. Mary S. v. Pueblo Sch. Dist.* 60, 09-CV-00858-WJM-MEH, 2011 WL 1755208, at *13 (D. Colo. May 5, 2011) (excluding expert opinion that speculated on a party's intent); *McGill v. Corr. Healthcare Companies, Inc.*, No. 13-CV-01080-RBJ-BNB, 2014 WL 6513185, at *4 (D. Colo. Nov. 20, 2014) (finding expert's opinion on state of mind and intent was "inappropriate for expert testimony."); *DePaepe v. Gen. Motors Corp.*, 141 F.3d 715, 720 (7th Cir. 1998) (expert lacked any scientific basis for an opinion about motives of manufacturer's designers).

vi. The McCown Report is Manifestly Inane

Finally, the unreliability of the McCown Report is underscored by a number of statements that demonstrably lack any understanding of current container operations, logic or sense. The Report repeatedly says, for example, that shippers generally bore no responsibility for the congestion at terminals and difficulty moving cargo inland. E.g., Paragraph 56. McCown Rpt at 22-23, para 56, CX547-548. It needs no citation to realize (as Mr. McCown surely does when not testifying as a paid expert) that these problems were the direct result of sudden and rapidly increasing demand by U.S. importers (including VCC) for transportation services after a near-complete halt at the initial outset of the COVID-19 pandemic in 2020, referred to as “bullwhip” effects. Absent the decision of such shippers to put extraordinary amounts of cargo on ocean carrier vessels beginning in late 2020, U.S. ports may have been able to handle the cargo with their normal efficiency and the whole problem would have been avoided. Indeed, Mr. McCown simultaneously recognizes that increased consumer demand resulted in the higher cargo volumes he claims shippers had no part in (McCown Dep. at 95:8-11, CX198). There is no benefit to playing the blame game, and in any event the problem was inherently about ports having too little capacity to handle too much shipper-driven cargo.

CONCLUSION

For the reasons set forth above, both the McCown Report and his deposition testimony should be stricken and excluded from any admission in the proceeding or consideration by the Presiding Officer.

Dated: November 18, 2024

Respectfully submitted,

A handwritten signature in dark ink, appearing to read "Kaya Massey", with a stylized, flowing script.

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CERTIFICATE OF SERVICE

I certify that on the 18th day of November, 2024, a true and correct copy of the foregoing RESPONDENT’S MOTION TO STRIKE was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission’s Order of May 12, 2020 as follows:

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